

2.7. NON-MONETARY CONSIDERATIONS

Choices reflect our underlying personalities—who we are, our ethics, the culture of our institutions, and our core beliefs. These considerations should enter our utility framework as well. In my exposition, utility functions represent how investors quantitatively measure bad times. Violations of core principles are some of the worst times—moral and social indignation can also be translated to extremely low utility values (states where marginal utility is extremely high).

For some institutions, stakeholders expect asset management to be conducted in a certain way to support the institution. The Norwegian sovereign wealth fund, CalPERS, CalSTRS, and other prominent large funds refuse to hold tobacco stocks. Norway goes further and automatically excludes all companies making cluster munitions and nuclear weapons from its portfolio. It has divested from companies for human rights violations (Wal-Mart), destroying the environment (Rio Tinto and Freeport McMoRan), and other violations of ethical norms (Potash Corporation of Saskatchewan). Many of these decisions have generated substantial attention in the press.¹³

For Norway's sovereign wealth fund, ethical investing reflects the preferences of the asset owner—the Norwegian people. Doing this confers legitimacy on the funds in the eyes of the stakeholders. In many other funds, the asset management style choice also reflects stakeholder preferences. In the extreme case, risking the existence of an institution by failing to manage assets in a certain way actually brings on the worst bad time possible—annihilation.

Utility is a representation of how asset owners make choices. We use utility to (normatively) derive asset management policies. Thus, if an asset owner needs to make choices that reflect non-monetary considerations, asset management should reflect those choices, subject to whether our optimal policies reflect normative or positive considerations. The most important thing is to take a stand on who we are.

2.8. SUMMARY

Expected utility is a tool for asset owners to quantitatively assess how they feel about bad times. Risk is captured by the (potentially subjective) probabilities of bad times occurring, and utility functions allow an investor to perceive how they feel about outcomes during these bad times. The more risk averse the asset owner, the more these bad times hurt and the more the asset owner prefers sure things.

While the simplest expected utility models capture bad times by the probabilities and marginal utilities of low wealth outcomes, utilities are a shorthand to represent the underlying preferences of the asset owner. Low wealth isn't the only

¹³ See "The Norwegian Government Pension Fund: The Divestiture of Wal-Mart Stores Inc.," Columbia CaseWorks, ID#080301.